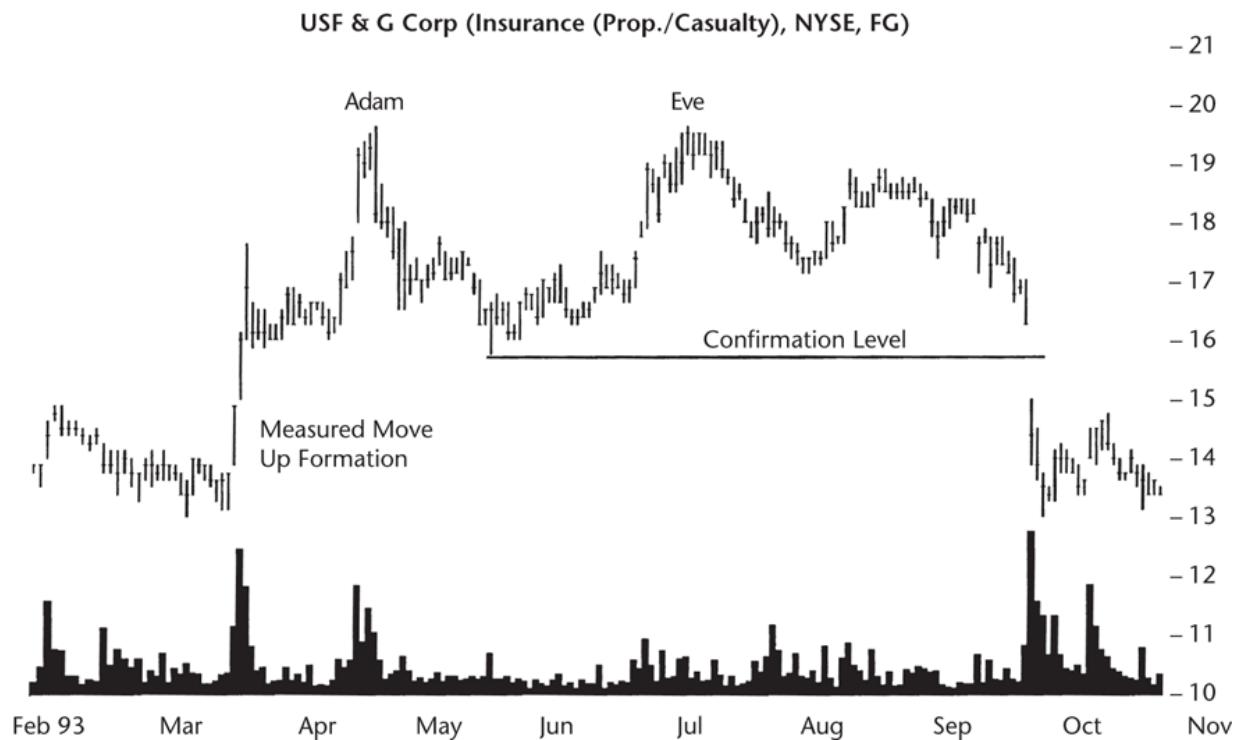


after the sale. A study I performed said that happens 60% of the time in bull markets. So trading before confirmation may lead to a loss 60% of the time.

Why do double tops form? Consider [Figure 31.3](#), an example of a well-shaped double top that satisfies all of the identification guidelines. Volume was unremarkable but did have its moments. On spurts, like that shown during March and again in April, volume spiked upward and buying demand propelled the stock higher.



[Figure 31.3](#) Price does not push above this double top for over 3 years. A measured move up pattern forms the rise to the left top.

Unfortunate investors or traders bought near the Adam top hoping price would continue rising—a momentum play. However, astute technical investors recognized the price pattern for what it really was: the completion of a measured move up. The first up-leg occurred in just three price bars, followed by horizontal movement for several weeks and another swift rise to the Adam top.

With measured moves (and the main reason I treasure them), price often returns to the corrective phase (the horizontal movement midway up the pattern). So knowledgeable traders would have expected a drop from the Adam peak and that's what happened. Price formed a base in early May that